

GUIDE · MARRIAGE & TRUSTS

Individual vs. joint trusts: *a strategic choice.*

For married couples in a separate-property state like Florida, individual trusts almost always serve better than a single joint trust. The reasons are administrative, protective, and tax-driven.

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A joint trust can look simpler at the outset. In Florida — a separate-property state — separate trusts usually prove the wiser structure once you account for administration at the first death, creditor exposure, and the step-up in basis.

The case for separate trusts

Cleaner administration

- A clear line between each spouse's assets makes the deceased spouse's trust simpler to administer.
- No need to untangle which assets belonged to whom.
- A smoother transition for the surviving spouse and any successor trustees.

Stronger asset protection

- Each spouse's assets stay clearly separated from the other's.
- Protection from an individual spouse's creditors stays intact.
- Reduced exposure to shared liability.

Tax advantages

- A clearer determination of the step-up in basis at the first death.
- Easier implementation of credit-shelter and other tax strategies.
- Simpler gift-tax tracking between spouses.

Common challenges with joint trusts

Joint trusts can work well in community-property states. In a separate-property state they tend to introduce friction:

- Difficulty tracking each spouse's separate-property contributions.

- Potential gift-tax complications between spouses.
- Harder implementation of credit-shelter (bypass) planning.
- More complex administration at the first death.
- Possible weakening of creditor protection.

The Lifetime Protection Subtrust

Our trusts can include Lifetime Protection Subtrust provisions, which carry benefits forward to the next generation:

- Enhanced asset protection for beneficiaries.
- Protection from a beneficiary's creditors and divorce.
- Flexibility for future generations.
- Favorable treatment of inherited assets.
- Preservation of family wealth over time.

MAKING THE RIGHT CHOICE

Some couples will prefer to keep an existing joint trust, and that can be the right call. Understanding the trade-offs is what makes the choice an informed one. PEP can create new separate trusts, optimize an existing joint trust, or amend current arrangements to fit your goals.

SCHEDULE A CONSULTATION

The conversation begins with a *thirty-minute call*.

Complimentary and confidential. We discuss your circumstances, outline a path forward, and quote a single flat fee in writing — before any work begins.

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